

Management Results — Quarter End

Stryker Orthopaedics reporting segment | Unaudited synthetic management information | Amounts in USD millions except per-procedure data.

REPORTING PERIOD	PERIOD ENDED
Q1 2026	2026-03-31
ENTITY	BASIS
Stryker Orthopaedics (synthetic segment)	Management reporting / unaudited

CONDENSED STATEMENT OF OPERATIONS

USD millions	Current quarter	Prior-year quarter
Net sales	926.0	890.8
Cost of sales	335.2	327.8
Gross profit	590.8	563.0
Research & development	65.7	61.5
Selling / administrative	326.9	319.8
Operating income	198.2	181.7
Net income	142.6	130.1

Net sales reflect procedure volume and contractual pricing. The Northeast experienced delayed robotic procedure-kit availability in April, partially offset by recovery shipments in June.

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BALANCE SHEET AND OPERATING INDICATORS

Indicator	Quarter end	Comment
Cash and equivalents	109.3	Segment allocation
Accounts receivable	263.0	DSO 51 days
Inventory	186.1	Safety stock rebuilt
Capital expenditure	38.9	Manufacturing cells
Gross margin	63.8%	Mix and discount pressure

MANAGEMENT DISCUSSION

Reconstructive implant demand remained resilient. Sales through ambulatory surgery centers grew faster than hospital channels, while distributor demand was intentionally moderated to normalize inventory.

This packet contains forward-looking assumptions and is not a vendor invoice, purchase authorization, or customer pricing offer. Totals may not add due to rounding.